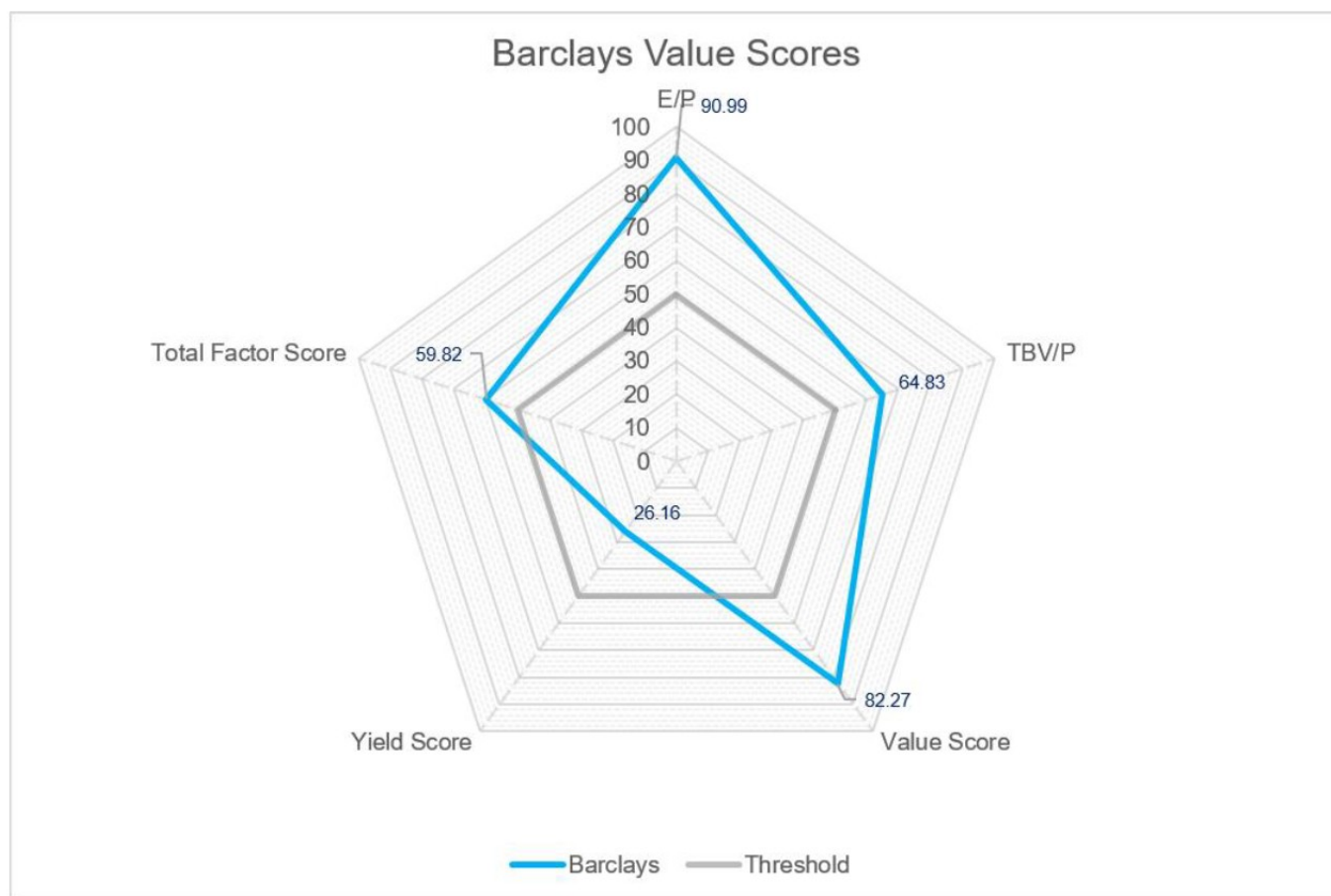


STOCK ANALYSIS

ANALYST	Aman Sankla
ISSUE DATE	TBC
COMPANY	Barclays
TICKER	BARC LN Equity
PRICE AT ISSUE	~£5.152



QESM SCORES



BUSINESS IN BRIEF

Barclays earns money by taking deposits and making loans, trading financial instruments across global markets, advising corporations on M&A and capital markets, and providing credit cards and consumer finance — primarily in the UK and the United States.

BUSINESS

Barclays PLC is a British universal bank headquartered in London, tracing its origins to a goldsmith banking business founded in 1690. Barclays UK provides retail banking, mortgages, and Barclaycard consumer credit in the domestic market. The Corporate & Investment Bank (CIB) spans global markets (fixed income, equities, FX), investment banking advisory, and corporate lending. Barclays has 206 branches located in the UK and the remainder spread across countries such as the US, India, Singapore, Hong Kong, France, Germany, Canada, and others.

Barclays investment bank accounts for 47% of the group revenue, Barclays UK (retail and business) accounts for 31% of the group revenue, and other businesses (US Consumer Bank, Private Bank & Wealth Management, Corporate Bank, Head Office, etc) account for 22%, with a total revenue of £29.1 billion in FY2025

VOLATILITY & LIQUIDITY

	<u>Stock</u>	<u>Index (ASX)</u>
36M Vol	30.4%	28.1%
260D Vol	32.8%	29.0%
30D Vol	33.9%	25.7%

Barclays' volatility has remained above the ASX median across all measured periods, The narrowing differential over longer timeframes suggests recent volatility is primarily driven by market conditions and earnings-related speculation rather than changes in underlying business fundamentals. This is consistent with peers such as HSBC and NatWest which also experienced quarter to quarter volatility. Barclays has remained slightly above the ASX median in the last 12 months due to £600 million of exposure to the collapse of Marketing Financial Solutions and some ESG controversies that are covered in the ESG section.

BALANCE SHEET AND FINANCIAL STATEMENT ANALYSIS

NIM +0.3% change to 4.6% in FY2025 – stronger net interest generation with an unchanged loan to deposit ratio

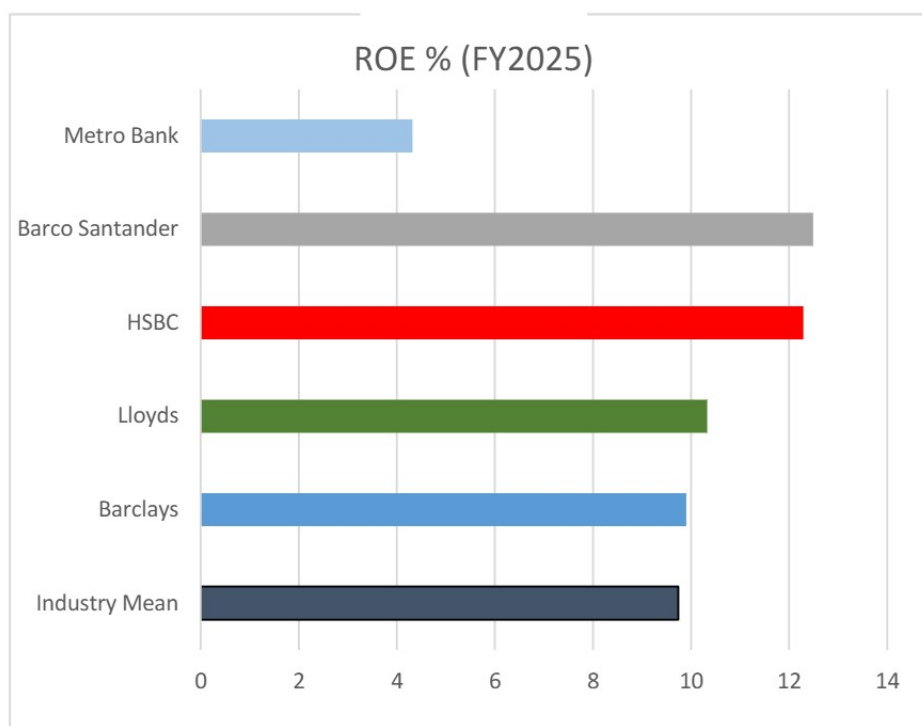
Equity increased 8% over the last FY, while net debt declined from **£264.1bn to £250.0bn in FY2025** and financial leverage reduced from **26.5x to 24.5x in FY2025** due to capital generation and reduced reliance on leverage – long term stability (less borrowed funds)

Total common equity increased to £65.1bn in FY2025 from £59.7bn in FY2024, capital accumulation outpaces distributions, larger capital buffer – more resilience

Revenue grew 8.8% YoY to £29.1bn. Profit margin improved from **20.8% to 21.8%**, and revenue has grown at a **7.4% CAGR since FY2021**.

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Return on Equity improved to 9.9% in FY2025, compared with 9.0% in FY2024 and 7.6% in FY2023. While profitability has recovered steadily from FY2023 lows.



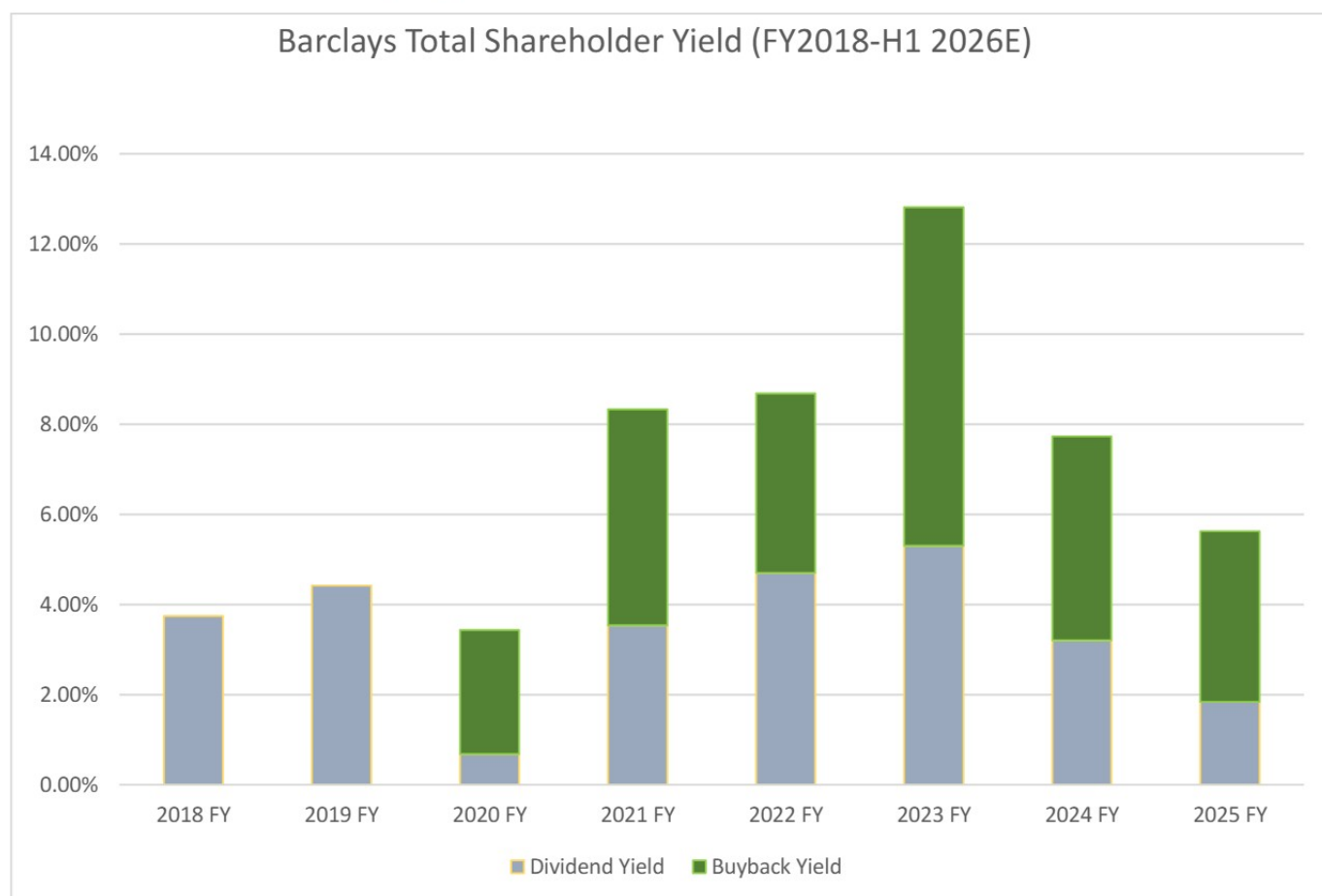
Barclays' FY2025 **ROE** of around 10% is broadly in line with the industry average and only modestly below Lloyds, HSBC and Santander. This underperformance is not particularly concerning because, unlike its peers, Barclays has a smaller UK retail banking franchise and a larger investment banking business, meaning it benefited less from the recent UK rate-hiking cycle that drove exceptional NIM expansion for retail-focused banks. As interest rates normalise, the earnings advantage enjoyed by Lloyds and other UK lenders is likely to fade.

Liquidity Coverage Ratio of 147.4% as of Q1 2026, comfortably above the regulatory minimum of 100%. This indicates the bank maintains sufficient high-quality liquid assets to withstand a 30-day period of severe liquidity stress, supporting balance sheet resilience and funding flexibility.

CET1 ratio of 14.3% and a Tier 1 Capital Ratio of 18.0%- strong loss-absorption capacity and supports balance sheet resilience in stressed economic environments. Loan to deposit ratio of 55.8%, a reduction of 0.1%, more deposits than loans

Overall, Barclays enters FY2026 with improving profitability, strengthening capitalisation and a solid balance sheet. P/E is discounted accordingly due to the ongoing class action and ESG concerns

*H1 2026 shareholder yield is estimated using Barclays' announced interim dividend and £1.0bn buyback programme, as full cash flow data was not available at the reporting date.



Despite Barclays scoring 26 on the yield, the model does not take into account Barclays' large share buyback program, which would more than double the yield.

Management announced £1.5bn of buybacks in H1 2026 and reiterated its commitment to returning at least £10bn to shareholders over 2024-2026. This supports the view that buybacks are likely to remain a significant component of total shareholder yield through FY2026 and beyond.

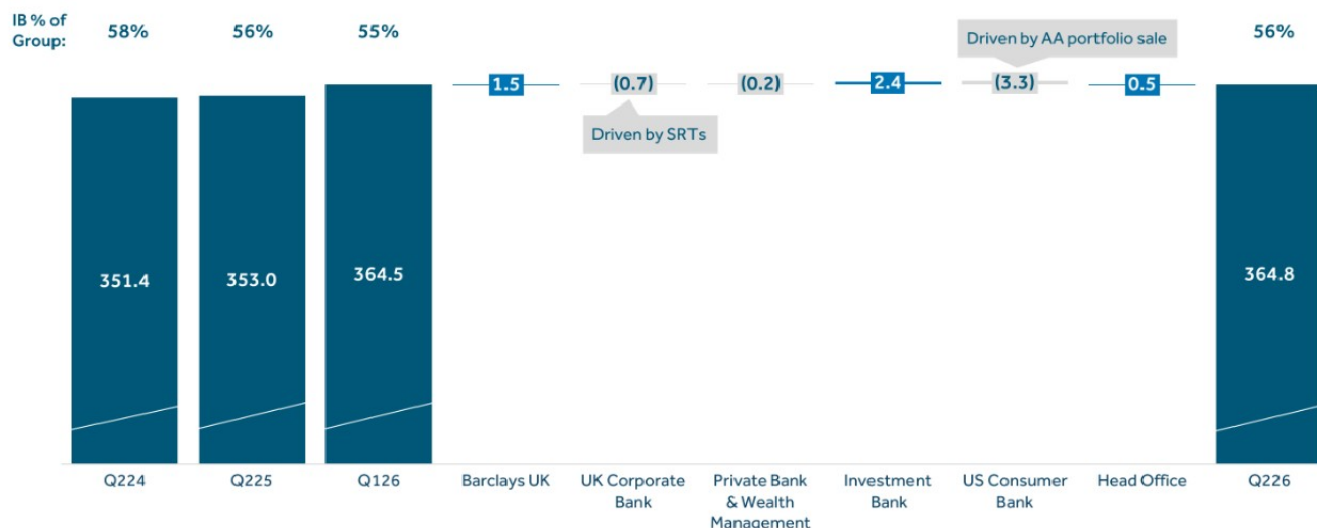
FINANCIAL STRENGTH RATINGS

14.3% CET1 ratio- very strong capital buffer, far over the 4.5 Basel III floor. Barclays falls into G-SIB bucket 2 meaning it must maintain an additional 1.5% CET1 capital buffer on top of normal regulatory requirements.

Tier 1 Capital Ratio of 18%, significantly above the 6% regulatory minimum, very strong risk weighted assets and financial resilience

Group RWAs were stable in Q2

Risk weighted assets (£bn)



Consistent capital and liquidity over time

Historical performance



ANALYSIS OF ENVIRONMENTAL, SOCIAL & GOVERNANCE CHARACTERISTICS

Management strategy – Net zero by 2050 ambition

Criticism from NGOs and climate activists due to financing of oil and gas companies, despite the net zero ambition, investment groups like Share Action concerned about the credibility of the climate transition strategy and its alignment with the Paris Agreement

Sustainalytics ESG Risk Rating of 22.0, placing it in the Medium Risk category,

- UK regulators fined Barclays approximately GBP 39M in July 2025 for failing to detect and manage money-laundering risks in its relationship with a client linked to one of Britain's largest money-laundering cases – full cooperation from Barclays
- Criticism from NGOs and climate activists due to financing of oil and gas companies, despite the net zero ambition. Investment groups like Share Action concerned about the credibility of the climate transition strategy and its alignment with the Paris Agreement
- On 27 February 2026, Reuters reported that Barclays had potential exposure of approximately £500m-£600m to collapsed UK mortgage lender Market Financial Solutions. The extent of any ultimate loss remained uncertain, but the disclosure raised concerns about Barclays' credit exposure and contributed to a 4.2% decline in its shares that day. The matter remains unresolved
- No changes to executive team

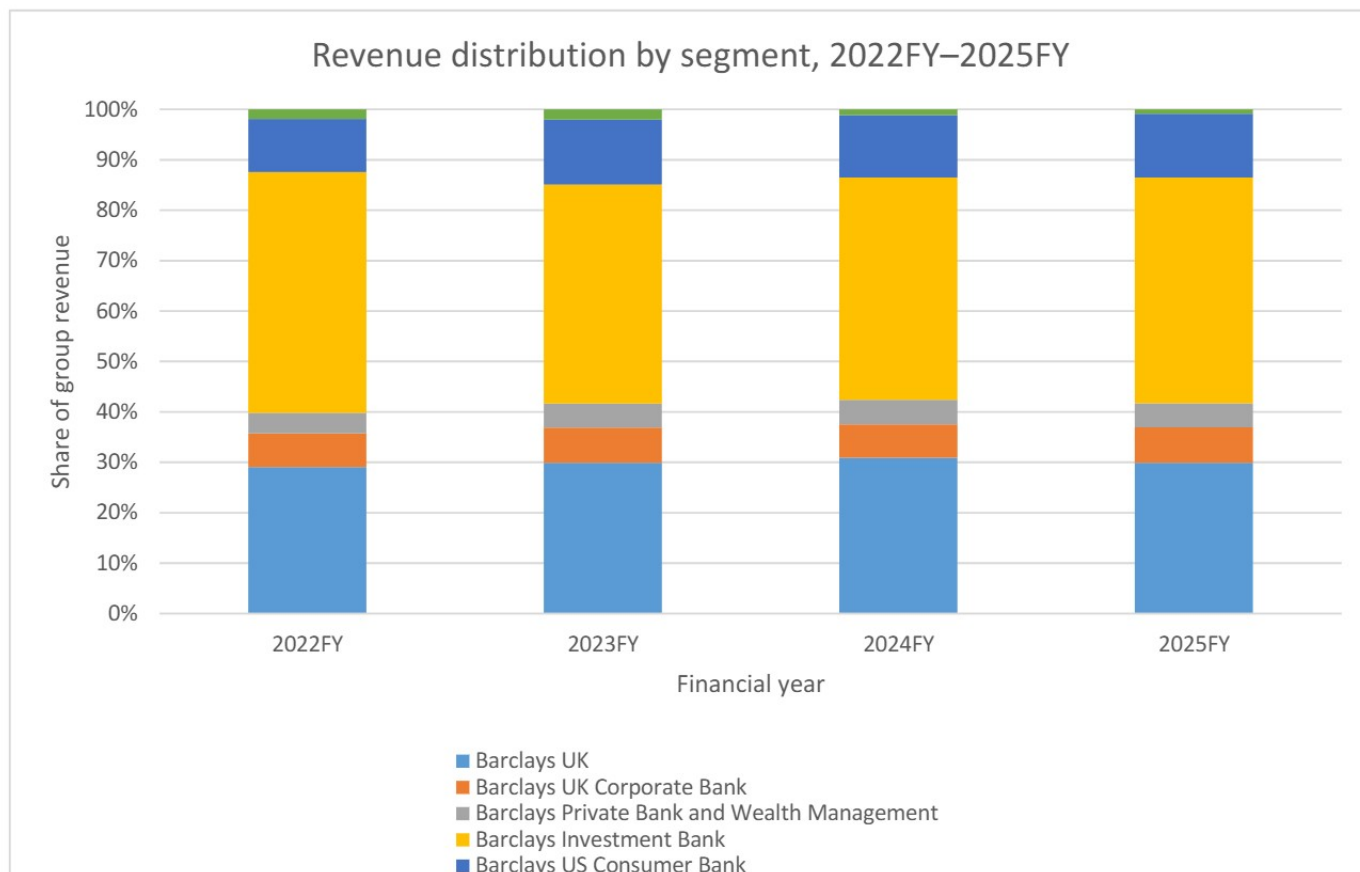
PROSPECTS

Barclays has gained global trading market share amongst European peers - 6.4% in Q1 2026, up from approximately 5% in 2017, positioning it to sustain momentum through 2028 as some competitors exit certain markets.

Barclays' overall prospects are firmly positive: consensus analysts expect EPS to grow from 43.2p in FY2025 to 52.7p in FY2026 and 64.7p in FY2027, representing a roughly 50% cumulative increase over two years while the mean price target of 574p implies approximately 11% upside from the current 515p close

Best Egg acquisition expands Barclays' exposure to the US consumer lending market and provides an additional platform for loan growth

The planned acquisition of Go Henry expands Barclays' digital youth banking proposition and may improve its competitive positioning against challenger banks such as Monzo and Revolut. Planned deal with Samsung to adopt Barclays product integration into the Samsung wallet.



Barclays' revenue mix remained broadly stable over FY2022-FY2025, with the Investment Bank continuing to be the largest contributor to group revenue. Barclays UK gradually increases its share, while the US Consumer Bank and Private Bank & Wealth Management divisions show modest growth in contribution.

SUMMARY

Barclays has shown strong financial fundamentals growth through H12026 and 2025. Its balance sheet has increased in resilience and stability backed up by higher CET1 ratios, LCR and total common equity,

EPS remains undervalued against industry competitors like HSBC and Lloyds, maybe due to the ongoing MFS class action and the ESG controversies. They are well positioned to hit 2026 and 2028 targets and still scoring well in the model.

No reason to reject

Group Q226 performance against financial targets

Targets	Q226 actuals	H126 actuals	2026 targets	2028 targets
Statutory RoTE	16.1%	14.8%	>12%	>14%
Total payout	£1.8bn Dividend: £0.8bn Buyback: £1.0bn	£2.3bn Dividend: £0.8bn Buyback: £1.5bn	Progressive increase vs 2025 ² incl. planned £2bn dividend for 2026	>£15bn ² With capacity to support investment and growth 2026-2028
Investment Bank RWAs (% of Group)	56%		Mid-50s%	c.50%
CET1 ratio	14.3% (Pro-forma: 14.0%) ¹		13-14%	13-14%
Supporting targets and guidance				
Income	£8.3bn	£16.5bn	c.£31.5bn Previously c.£31bn	>5% CAGR 2025-2028
Group NII excl. Investment Bank and Head Office	£3.4bn	£6.8bn	>£13.7bn Previously >£13.5bn	
Barclays UK NII	£2.0bn	£4.0bn	£8.1-8.3bn	
Cost: income	54%	55%	High 50s%	Low 50s%
Loan Loss Rate (LLR)	51bps	62bps	50-60bps Through the cycle	50-60bps Through the cycle

ANALYST CHECKLIST

Regular dividend paid	☒
No liquidity issues	☒
Enough free float	☒
No shareholders with superior voting rights	☒
No large pension deficit	☒
Healthy solvency ratios/Ability to meet debt obligations	☒